



11th June 2025.

The Director

TURNKEY INVESTMENTS LIMITED

KITWE

Attention: Mr. Peter Bwalya

Dear Sir,

FACILITY LETTER

FUNDIT CAPITAL SOLUTIONS LIMITED(Company Registered) ("the Financial Institution") offers to provide **Turnkey Investments Limited**(Certificate of Company Registration Number **120160000988**)(**"the Borrower"**) with an **Invoice Discounting Facility** (**"the Invoice Discounting Facility"**) subject to the terms and conditions set out in this **Invoice Discounting Facility** Letter of Offer (**"the facility letter"**) and on the attached general terms and conditions applicable to the **Invoice Discounting Facility** (**"the general terms and conditions"**). Any reference to **"the facility letter"** shall include the general terms and conditions, which must be read together as one agreement.

1. The Facility

Type of Facility	Limit
1.1 Invoice Discounting Facility	ZMW 68,000 (Sixty Eight Thousand Kwacha Only)

*Subject to the terms and conditions set out in separate agreements.

2. Purpose

2.1 FUNDIT CAPITAL SOLUTIONS LIMITED Invoice Discounting Facility

The client requires the funds for operational purposes. **FUNDIT CAPITAL SOLUTIONS LIMITED** Finance Company will discount invoice issued by Turnkey Investments Limited to Mopani Copper mine Plc

- 3.1 The Facility is repayable strictly on demand, in which event the relevant facility shall immediately become due and payable and the Financial Institution shall not be obliged to give any notice in making, or prior to demand. This Facility will expire on 11th **August 2025**



- 3.2 The limit for the facility may be terminated by the Financial Institution on written notice to the Borrower, in which event the relevant facilities shall immediately be cancelled and become due and payable.
- 3.3 All facility loan draw downs or drawn down amounts should be repaid in full within **60** days from the draw down date or within dates agreed in writing by the Financial Institution and the Borrower from time to time. The drawn down loan amount should be covered by the Borrower in cash or by sufficient cleared balances with the Financial Institution, on or before their respective maturity dates.
- 3.4 Should the loan remain outstanding by the maturity date, the financial institution shall charge **10%** of the unpaid (outstanding) amount every month it remains outstanding.
- 3.5 The limit for the facility may be reduced by the Financial Institution on written notice to the Borrower, in which event all amounts in excess of the reduced limits shall immediately become due and payable.
 - 3.5.1 interest to be charged on monthly basis

Notwithstanding these conditions, the Facilities are scheduled for review in terms of clause 11 below.

4 Pricing

4.1 Interest

- 4.1.1 Interest on the **Invoice Discounting Facility** will be charged at **7%** per month.
- 4.1.2 The Financial Institution reserves the right to amend the commission and the method of calculating it at any time in line with market conditions. If the Financial Institution does so, written advice of the amendment and its effective date will be sent to the Borrower within a reasonable time.

4.2 Other fees and charges

- 4.2.1 Where applicable the client shall pay necessary legal fees pertaining to security perfection, and discharge of mortgage.

5. Market Flex

- 5.1 The Financial Institution may immediately amend the pricing structure applicable to the Facility if there is a change in:
 - 5.1.1 Law or the issue of a directive with which we must comply; or
 - 5.1.2 Market conditions resulting in an increase in costs to the Financial Institution
 - 5.1.3 If the Financial Institution amends the pricing structure referred to in clause 4.1 above, then the Financial Institution will advise the Borrower accordingly



6 Security

6.1 Security Held

6.1.1 Deed of assignment of debt by **Turnkey Investments Limited** to FUNDIT CAPITAL SOLUTIONS LIMITED

6.1.2 An Officer from Fund It Capital Solutions Will be added as signatory to Turnkey Investment Limited Bank Account.

Turnkey Investments Limited to write to their bankers to transfer ZMW **72, 520** to FUNDIT CAPITAL SOLUTIONS LIMITED on due date being proceeds:

VENDOR	DESCRIPTION (INVOICE)	VALUE ZMW	DATE ISSUED	PAYMENT TERMS
Mopani Copper mine Plc	086	98,460	9/06/2025	30 days after date of Invoice
		98,460		

6.2 Security Required

6.2.1 A declaration form to be signed by Turnkey Investment Limited to FUNDIT CAPITAL SOLUTIONS LIMITED. An officer from FUNDIT CAPITAL SOLUTIONS will be added as co signatory to the account.

6.2.2 Unlimited guarantee by company directors

“Security Held” and “Security required” hereinafter jointly to be referred to as “the Security”.

6.3 In addition and without prejudice to any security already held by the Financial Institution, the Financial Institution requires the Security to cover all facilities granted to the Borrower, whether direct or contingent and howsoever arising

7 Repayment

7.1 The Borrower shall repay the Loan facility together with the commission from the proceeds of the invoices and order from Mopani. Should Mopani become not liable to honour the order due to any reason, the client will settle the loan repayment using other sources provided the facility is settled in full by the stipulated repayment period.

8 Conditions Precede

The Financial Institution will make the Facilities available to the Borrower subject to the fulfilment of the following conditions precedent to the satisfaction of the Financial Institution.



8.1 Certified copies of the Borrower's certificate of registration or incorporation and the Borrower's Articles of Association, as well **as a current Companies/Business names form 2 outlining the company's existing directors** and any other founding documents;

8.2 A signed copy of this Facility Letter, duly acknowledging and accepting the terms and conditions stipulated herein; within Seven days from date hereof, failing which the facilities will lapse;

8.3 A supporting resolution by the Borrower in a format acceptable to the Financial Institution, authorizing the acceptance of the Facilities and the granting of the Security;

8.4 Provision, by the Borrower, of risk insurance cover, for the full market value, over any assets which the Financial Institution holds as security, with an insurance company approved by the Financial Institution, and with the Financial Institution's interest noted as first loss payee

8.5 Signed acknowledgements and undertakings by the sureties/guarantors; and

8.6 The Security, duly executed, in a form acceptable to the Financial Institution, and registered, where applicable;

9 Special Conditions

9.1 While the Facilities remain available or any amount or commitment remains outstanding to the Financial Institution the Borrower will:

- 9.1.1 Provide the Financial Institution with signed audited year-end financial statements denominated in Zambian Kwachas by Borrower, prepared in accordance with applicable accounting standards and consistently applied.
- 9.1.2 Understand and agree that any security given, of whatever nature, covers all liabilities directly, indirectly and contingent to the Financial Institution.
- 9.1.3 Agree that this is the maximum level of facilities that can be considered at this time until viability has been demonstrably proven. Increased facilities will only be considered against suitable tangible collateral.
- 9.1.4 Provide the Financial Institution with such further information as the Financial Institution may require from time to time.

9.2 The Financial Institution reserves the right to reassess and renegotiate the facilities, including the nature and quantity of collateral, if any change occurs in the ownership or control of the enterprise/Borrower and if any deterioration takes place in the financial position of any borrower and / or surety and / or in the conduct of the business of the Borrower.

10 Environmental Responsibility

10.1 The Borrower warrants and represents to the Financial Institution that it is in full compliance with all applicable laws, regulations and practices relating to the protection of the environment applicable to it in each jurisdiction in which the Borrower conducts business (its "**Environmental Responsibility**") and hereby undertake to continue to do so for so long as the Borrower is indebted to or owes any obligations to the Financial Institution under or in terms of this Facility Letter.

10.2 The Borrower warrants that it is not aware of any circumstances which may prevent full compliance with its Environmental Responsibility in future.

10.3 The Borrower hereby indemnifies the Financial Institution against any loss, damage, claims, costs or any other liability, which may arise (because of this or any other Financial



Institution facility and/or the Financial Institution having an interest in the Borrower's assets) in respect of a breach of, or a failure, by the Borrower to meet its Environmental Responsibility.

11 Default

- 11.1 An event of default will occur;
 - 11.1.1 should the Borrower fail to make payment of any one instalment due or
 - 11.1.2 should the Borrower breach any term or condition of this Facility Letter or any facility the Financial Institution may grant to the Borrower or any other facilities between the Borrower and the Financial Institution or any other subsidiary or associate company of the Financial Institution and the Borrower fails to remedy the breach within 7 (seven) days of receiving written notice to do so; or
 - 11.1.3 should any representation warranty or undertaking made in connection with this Facility Letter or any documentation supplied by the Borrower be, in the Financial Institution's opinion, materially incorrect; or
 - 11.1.4 if the Borrower or any surety/guarantor commits an act of insolvency, or becomes insolvent, or is provisionally or finally sequestrated, or is provisionally or finally wound up, or is unable to pay its debts as they become due, or is placed under provisional or final judicial management, or enters into a scheme of arrangement or compromise with its creditors, or
 - 11.1.5 should the members or directors of the Borrower pass a resolution for the winding up of the Borrower; or
 - 11.1.6 if the Borrower acts in any way which, in the opinion of the Financial Institution may have a material adverse effect on the Borrower's business, financial condition or assets, or its ability to perform its obligations under the Facilities; or
 - 11.1.7 if an attachment, execution or other legal process is levied, enforced, issued or sued out on or against any assets of the Borrower or of any surety/ guarantor for the Borrower's indebtedness to the Financial Institution, and is not discharged or stayed within 30 (thirty) days of service by the relevant office of the court of such attachment, execution or other legal process; or
 - 11.1.8 if at any time, the amount outstanding under the Facilities exceeds the maximum aggregate limit for that facility and the Borrower fails to regularize the excess position within 7 (seven) days of receiving the notice to do so; or
 - 11.1.9 if any surety/guarantor, in respect of the Borrower's indebtedness to the Financial Institution, commits any breach of its obligations to the Financial Institution, whether as surety/guarantor or otherwise; or
 - 11.1.10 if any surety / guarantor in respect of the Borrower's indebtedness to the Financial Institution delivers a valid and effective notice of termination of liability under such suretyship or guarantee; or
 - 11.1.11 if any security for any of the Borrower's indebtedness to the Financial Institution becomes enforceable or subject to seizure by a court or a government body or an authority, whether such is enforced or not; or
 - 11.1.12 should a writ of execution issued by any competent court attaching any assets belonging to either the Borrower or any surety remain unsatisfied for more than 7 (seven) days after the date on which it is issued; or
 - 11.1.13 the Borrower generally does or omits to do anything which may cause any loss or damage; or
 - 11.1.14 there is a material deterioration in your financial position. For purposes of this clause, "material deterioration" in our reasonable opinion.
- 11.2 If an event of default occurs then, in any such, the full amount of the Facilities and any other facilities accorded to the Borrower by the Financial Institution, then outstanding



(whether or not it is due for payment), and all charges accrued thereon, together with additional interest under this Facility Letter shall, immediately become due and payable. In addition, the Financial Institution shall have the right to exercise all other remedies available to it under the laws of Zambia.

11.3 The default procedure in clause 11.2 above will not apply if the Financial Institution in any way knows or suspects that: -

11.3.1 the Borrower's account is being used fraudulently, negligently, for illegal or terrorist activities, or for any purpose that does not comply with the law; or

11.3.2 the Borrower is involved in any illegal or terrorist activities

In these circumstances the Financial Institution may terminate the Borrower's other accounts and this Facility Letter and call for immediate repayment of all amounts owing by the Borrower to the Financial Institution. The Financial Institution shall thereafter within a reasonable time notify the Borrower of such termination.

11.4 If the Financial Institution closes, restricts activity or suspends access to the Borrower's credit limit, reduced credit limit, or the Borrower's account for any reason, the Financial Institution will not be liable, directly or indirectly for any damages howsoever arising as a result of such action that the Borrower or any 3rd (third) party may suffer.

11.5 In terms of default as stated in 10.1 above, the name of the Borrower and the full transaction details shall be passed by the Financial Institution to Credit Reference Bureaus for circulation to other credit grantors who may use such information to assess the Borrower's credit worthiness for their own business purpose.

12 Review Date

12.1 The Facilities will be reviewed on **11th July 2025** and the Financial Institution reserves the right to extend the Facilities beyond that date at its discretion. In accordance with normal lending practice, the Financial Institution will review your company's requirements prior to the review date, in light of up-to-date balance sheet (Statement of Financial Position) trading results and anticipated cash flow figures for the ensuing period. This information must be given to the Financial Institution before the review date. In the event of a delay in receipt of this information, the Financial Institution reserves the right to increase the interest rate and / or reduce or restructure the Facilities until such time as the updated financial information required has been received and the review undertaken.

13 Change in circumstances and Commitment fee

Notwithstanding anything contained in the Facilities Letter to the contrary, any change in or introduction of any law, regulation, ruling, directive, policy and / or guidelines or any similar event with which the Financial Institution or any of its divisions is obliged to comply and / or which is in accordance with the practice of a responsible lender, or any interpretation, administration or application thereof results in any increase to the Financial Institution in the cost of maintaining and / or providing the Facility or any unused portions thereof, the Financial Institution reserves the right to recover such additional costs from the Borrower on demand.

14 Conflict

The terms and conditions of this Facility Letter, any appendices to this Facility Letter and separate written terms and conditions or written agreements relating to any facility, shall be read together, provided that should a conflict exist or arise: -

14.1 the separate terms and conditions relating to a particular facility shall prevail; and



14.2 subject to 14.1 the contents of this Facility Letter shall prevail over appendices hereto

15 Acceptance

To indicate the Borrower's acceptance of the foregoing, kindly initial each page of the duplicate of this letter including the attached general terms and conditions, and sign the final page of this letter and return it to the Financial Institution **(7) Seven days** from the date of this Facility Letter, together with the following:

15.1 A copy, certified to be true by the Company Secretary of the Borrower, of a resolution from the Borrower's Board Directors; -

15.1.1 accepting the terms and conditions of this Facility Letter and the attached general terms and conditions as stated;

15.1.2 authorizing a specified person or persons to sign and return the duplicate of this Facility Letter to the Financial institution;

15.1.3 authorizing a specified person or persons to provide the Security, duly executed and registered; and

15.1.4 Authorizing the Financial Institution to accept instructions and confirmation in connection with the Facilities signed in accordance with the mandate given by the Borrower to the Financial Institution.

This offer remains open for acceptance for a period of **(7) Seven** days from the date of this Facility Letter after which time this offer will lapse unless an extension has been agreed to in writing by the Financial Institution.

This Financial Institution is committed to providing the highest quality service to the Borrower and to the Borrower's business and should there be any queries, please do not hesitate to contact us.

Meanwhile, the Borrower may wish to and the Financial Institution recommends that the Borrower seek independent advice in understanding the Facilities and the implications of the terms of this Facility Letter.

Yours faithfully

**For and on behalf of
FUNDIT CAPITAL SOLUTIONS LIMITED**

Relationship Manager

Branch Manager

For Acceptance

We are pleased to accept the offer for the Facilities on the terms and conditions in this Facility Letter and on the attached general terms and conditions.

For and on behalf of **Riverun Enterprises Limited** (Certificate of Company Registration Number **69402**) [the Borrower]

Name;.....

Name.....



Signature.....

Signature.....

Director/Secretary

Director

This Facility Letter is accepted and the authority of the persons executing the Facility Letter on behalf of the Company hereto granted pursuant to a Resolution of the Board of Directors of the Company

Dated _____ (*Date of Board Resolution*)

Signed At _____ on this _____ day of _____ 2025

(*Date OF Acceptance*)

Domicilium Citandi:

Postal Address

Phone

Email

General Terms and Conditions applicable to Loans and Other Financial Institution Facilities



Cost and Expenses

The Borrower shall reimburse to the Financial Institution on demand on a full indemnity basis (whether or not the loan facility is drawn down) all valuation and legal fees and other out of pocket expenses (including stamp duties and Value Added Tax) incurred by the Financial Institution in connection with the creation or any revaluation of the Security or the enforcement or preservation by the Financial Institution of its rights under this facility letter of the Security (or the documents referred to in them).

Remedies and Waivers

The Financial Institutions rights under this facility letter cumulatively, may be exercised as often as the Financial Institution considers appropriate and are in addition to its rights under the general law. The Financial Institution rights (whether arising under this facility letter or under the general law) will not be capable of being waived or varied, otherwise than by an express waiver or variation in writing. Any failure by the Financial Institution to exercise, or any delay in exercising, any of such rights will not operate as a waiver or variation of that or any other such right, any defective or partial exercise of any such right will not preclude any other of further exercise of that or any other such rights; and no act or course of conduct or negotiation on the part of the Financial Institution shall preclude the Financial Institution from exercising any such right or constitute a suspension or any variation of such right.

Payments

All payments by the Borrower under the loan facility, whether of principal, interest, fees, costs or otherwise, shall be made in full in immediately available funds, without set off or counterclaim and free and clear of any deduction or withholding on account of tax or otherwise. If the Borrower is required by law to make any deduction or withholding from any payment under the loan facility, the sum due from the Borrower in respect of such payment shall be increased to the extent necessary to ensure that after the making of such deduction or withholding, the Financial Institution receives a net sum equal to the sum which it would have received had no such deduction or withholding been required.

Certificate

A certificate signed by any manager of the Financial Institution (whose appointment or authority need to be proved) as to any amount owing to the Financial Institution under the facility

Set Off

The Financial Institution may at any time without notice or to demand to the borrower and notwithstanding any settlement of account or other matter whatsoever, combine or consolidate all or any than existing accounts of the Borrower with the Financial Institution including accounts in the name of the Financial Institution whether current, deposit, loan or of any other nature whatsoever, whether subject to notice or not and in whatever currency denominated and whether held in the name of the Borrower alone or jointly with others wherever situate and set off or transfer any sums standing to the credit of any obligations and liabilities to the Financial Institution of the Borrower whether such liabilities be present, future, actual contingent, primary, collateral, joint or several and the Borrower expressly waives any rights of set-off that the Borrower may have, so far as is permitted by law, in respect of any claim which it may now or at any time hereafter have against the Financial Institution and the Financial Institution may use any such money to purchase any currency or currencies required to effect such application.

Currency Clauses

If any part of the loan facility is denominated in a foreign currency ("the **currency of the account**"), payment under or the repayment of such loan facility will only be made in such foreign currency.

Any other foreign currency received by the Financial Institution, or by any person appointed by the Financial Institution, in a currency other than the currency of the loan facility may be converted by the Financial Institution into the currency of the loan facility as the Financial Institution considers necessary to cover the obligations or liabilities of the Borrower. The Financial Institution shall use the Financial Institution's spot rate of exchange for such conversion.

In exercising the aforementioned rights to switch foreign currency into the currency of the loan facility the Financial Institution will not be liable for any losses resulting from exchange rate fluctuations.

Assignment

The Borrower shall not be entitled to assign all or any part of its obligations or benefits under this facility letter without the prior written consent of the Financial Institution, which consent will not be unreasonably withheld.



letter, by the Borrower, the rates of interest and any other fact stated therein, shall, on its mere production, be *prima facie* proof of the content of such certificate

Notices

The parties choose the addresses set out in the facility letter as the street addresses at which the Borrower of the Financial Institution, as the case may be, will accept delivery of legal notices ("the notice address"). Should either party wish to change its notice address, the other must be notified in writing, and this notice must be hand delivered or sent by registered post.

All other notices or communications required or permitted to be given, in respect of the provisions of this agreement will be valid only if in writing and sent to either party's notice e-mail or postal address or fax number provided in the facility letter or any changed address advised in terms of this clause, provided that any documents to be delivered in respect of legal proceedings in connection with this agreement may only be served on the parties notice address.

Any notice (i) sent by prepared registered post will be deemed to have been received on the 5th (fifth) business day after posting; or ii) sent by ordinary mail will be deemed to have been received on the 1st (first) business day after the date it was sent.

Notwithstanding anything to the contrary contained herein, a written notice or communication actually received by either party will be an adequate written notice or communication to that party even though it was not sent to or delivered to your notice address or through postal or e-mail address or telefax number.

Failure by the Borrower to receive any notice in terms of the facility letter will not in any way prejudice the Financial Institution's rights in terms of the facility letter.

Material Adverse Change

In the event that a Material Adverse Change has occurred in the financial conditions or results of operations of business of the Borrower the Financial Institution reserves the right to convert the loan facility to a facility repayable on demand or to call for cash cover for the full extent of the Borrower's indebtedness to the Financial Institution, inclusive of contingent liabilities.

"**Material Adverse Change**" shall mean a material adverse change in the Financial Institution's opinion and agreed by the Borrower.

The Financial Institution shall be entitled, without the consent of or notice to the Borrower, to cede all or any part of this rights and / or obligations under the facility letter and / or the Security, either absolutely or as collateral security, to any person (even though that cession and / or delegation may result in a splitting of claims against the Borrower) Even if the loan facility and / or Security is sold or ceded the Borrower acknowledges that the servicing and / or administration of such loan facility and / or Security may:

- a. still be performed by the Financial Institution on behalf of the purchase/ cessionary or cedent ; or
- b. be contractually managed by a third party on behalf of the purchaser / cessionary or cedent; or
- c. be performed by the purchaser / cessionary or cedent itself

These services and administrations can include the giving of notices realization of any collateral and the recovery of amount due under the loan agreement

Even if the loan facility (or any part thereof) is sold, ceded to any person ("**the transferee**") the Borrower acknowledges that the Financial Institution may elect not to cede or sell its rights under the Security and / or any other collateral ("relevant collateral") to the transferee such that notwithstanding the sale, cession of the loan facility (or any part thereof) to the transferee, the relevant collateral shall as between the Financial Institution (or its successors in title or assigns under the relevant collateral) and the Borrower, continue to cover the indebtedness of the Borrower to the Financial Institution (or its successors in title or assigns under the relevant collateral) on the terms set out in the relevant Security documents

Availability of Funds

The Financial Institution shall not be liable for any failure to perform its obligations hereunder resulting directly or indirectly from the action or inaction of any government or local authority or any strike, boycott, blockade act of god, civil disturbance or for any other act which is beyond the control of the Financial Institution

Confidential Information

The Borrower agrees with the Financial Institution that the Financial Institution may

- i. hold and process, by computer or otherwise any information obtained



If the Borrower should not agree within 14 (fourteen) days of being notified by the Financial Institution that a Material Adverse Change has taken place, then the matter shall be referred to the Financial Institution's auditors for their opinion and the Borrower agrees that the opinion of the Financial Institution's auditors shall be final and binding.

Representations and Warranties

The Borrower represents and warrants to the Financial Institution that:-

- i. it is a limited liability company validity incorporated and existing under the laws of (insert country name)
- ii. this facility letter and the Security, when executed, will constitute legal, valid and binding obligations of those of the provider thereof;
- iii. it has the power to enter into and perform in terms of the facility letter and the Security, and all necessary shareholder and corporate consents have been obtained for the acceptance of the loan facility, the grant of the Security and the execution and delivery of this facility letter and the Security;
- iv. the acceptance of the loan facility or the grant of the Security do not contravene any agreement or instrument to which it or the provider thereof is a party.
- v. It is not insolvent nor have any steps been taken or are, to the best of its knowledge threatened against it for winding up, no action or litigation is pending or to the best of its knowledge threatened against it which could reasonably have a material adverse effect on its business, financial condition or assets; and
- vi. There are no material facts or circumstances in respect of the Borrower or the Borrower's Group, its affairs, business and operations which have not been fully disclosed which would be likely to adversely effect the decision of the Financial Institution to advance the loan facility.

General Undertakings

While the loan facility remains available or any amount or commitment remains outstanding the Borrower undertakes to the Financial Institution;

- i. That it shall not cease carrying on business
- ii. It shall not change its accounting policies
- iii. It shall not become surety guarantor for or give indemnity on behalf of any third

about the Borrower as a consequence of the loan facility contemplated in this Facility Letter:

- ii. include personal data in the Financial Institution's systems which may be accessed by other companies in the Financial Institution's group for credit assessment, statistical analysis including behavior and scoring and to identify products and services (including those supplied by third parties) which may be relevant to the Borrower; and
- iii. permit other companies within the Financial Institution's group to use personal data and any other information it holds about the Borrower to bring to its attention products and services which may be of interest to the Borrower.

The Borrower further agrees that the Financial Institution may disclose its personal data and / or information relating to the Borrower including data and information relating to this facility letter and any documents referred to herein or the assets, business or affairs of the Borrower outside the Financial Institution's group whether such personal data and / or information is obtained after the Borrower ceases to be the Financial Institution's customer or during the continuance of the Financial Institution-customer relationship or before such relationship was in contemplation:

- i. for fraud prevention purposes
- ii. to licensed credit reference agencies or any other creditor, if the Borrower is in breach of this facility letter or any documents referred to herein.
- iii. To its external lawyers, auditors and other sub-contractors or persons acting as the Financial Institution's agents.
- iv. To any person who may assume the Financial Institution's rights under this facility letter:
- v. If the Financial Institution has a right or duty to disclose or are permitted or completed to do so by law, and
- vi. For the purpose of exercising any power remedy right, authority or discretion relevant to this facility letter or any other document.

The Borrower acknowledges and agrees that notwithstanding the terms of any other agreement between the Borrower and the Financial Institution a disclosure of information by the Financial Institution in the circumstances contemplated by this clause does not violate any



party or render itself liable in any way whatsoever for the debts or engagement of any other party; iv. That no assets of the Borrower will be encumbered or further for encumbered without the Financial Institution's prior written approval, except for encumbrances in existence at the date of this facility letter, full details of which were disclosed in writing to the Financial Institution; v. That it shall not sell transfer or otherwise dispose of or attempt to sell, transfer or otherwise dispose of the whole or any substance part of its undertaking, property, assets or revenue, whether by single transaction or a number of transaction (other than in the ordinary course of its business); vi. That it shall not make any material change in the scope or nature of its business vii. That it shall immediately upon becoming aware of it, notify the Financial Institution of any material litigation, arbitration or administrative proceeding pending or to be of its knowledge information and belief, threatened against the Borrower; and viii. That it shall not change the ownership or shareholding structure of the Borrower without the Financial Institution's prior written consent. Liability for loss The Financial Institution will not be liable for any loss incurred by the Borrower in terms of loan facility, save and except where such loss is caused by the Financial Institution's gross negligence gross misconduct and / or willful misconduct. Compliance with laws The Borrower must ensure that at all times, comply with legislation and other laws, applicable to the facility letter and where applicable, any business to whom we are making funds available in terms of this facility letter. Whole Agreement, Variation of Terms, No Indulgence The agreement created upon acceptance of the facility letter by the Borrower shall constitute the whole agreement between the Financial Institution and the Borrower relating to the subject matter of the facility letter No addition to, variation, or amendment, or consensual cancellation of any of the terms contained in the facility letter shall be of any force	duty owed to the Borrower either in common law or pursuant to any agreement between the Financial Institution and the Borrower or in the ordinary course of Financial Institution business and the customs, usage and practice related thereto and further that disclosure as aforesaid may be made without reference to or further authority from the Borrower and without inquiry by the Financial Institution as to the justification for or validity of such disclosure. Governing Law and Jurisdiction This facility letter shall be governed and constructed in accordance with Zambian law and the High Courts of Zambia shall have jurisdiction to settle any disputes which may arise in connection therewith without prejudice to the exclusive right of the Financial Institution to institute proceedings against the Borrower in respect thereof in any other jurisdiction. Negative Pledge and Assets The Borrower agrees not to: - Mortgage pledge, assign, charge, hypothecate or otherwise encumber or further encumber any of its movable or immovable assets to secure any liability of any nature (excluding encumbrances existing at the date of this letter or other provided that they have been advised to the Financial Institution in writing: - Dispose of or attempt to dispose of any of its assets for the express purpose of raising money from the said disposal, other than in the normal course of its trading activities: or - Become a surety or guarantor for or give any indemnity on behalf of any third party whomsoever or render itself liable in any way whatsoever for the debts or liabilities of any party Without the prior consent of the Financial Institution, while Financial Institution facilities are accorded to the Borrower by the Financial Institution, which consent shall not be unreasonably withheld. This restriction shall not apply to suspensive sale contracts entered into in the normal course of the Borrower's business. Withdrawal from loan agreement The Financial Institution may at any time before the payment of the loan facility (or any part thereof) to or on behalf of the Borrower), withdraw from the loan agreement and the Borrower will have no claim against the Financial Institution if the Financial Institution does so.
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of effect unless it is reduced to writing and signed by both parties, No indulgence shown or extension of time given by the Financial Institution shall operate as an stopped against the Financial Institution or waiver of any of the Financial Institution's rights unless recorded in writing and signed by the Financial Institution. The Financial Institution shall not be bound by any express or implied term representation, warranty,, promise or the like not recorded herein, whether it induced the conclusion of any agreement and / or whether it was negligent or not.

Insurance

The Borrower must ensure that its assets are insured, to the satisfaction of the Financial Institution , for an amount not less than the replacement cost thereof from time to time, and the Borrower agrees that such insurance policy will be ceded to the Financial Institution as required in terms of the letter of grant

Where the Borrower fails to insure the assets as required above, the Financial Institution may at any time during the period of the loan facility require the Borrower to obtain satisfactory insurance over its assets for an amount not less than the replacement cost of the assets

Where the Borrower fails to insure its assets as required above, the Financial Institution will have the right, but not an obligation, to insure the assets in the Financial Institution's name and / or the Borrower's name, at the Borrower's expense with an insurance company nominated by the Financial Institution. This may be as specified or deemed necessary by the Financial Institution at its sole discretion

The Financial Institution may grant the Borrower proof of any money received by the Financial Institution in respect of any insurance claim, settlement or compromise and will use the money wholly or partially, either in reduction or payment of any amounts owing under this loan facility and / or the restoration or replacement of the assets which are damaged or destroyed, under such conditions as the Financial Institution may determine

The Financial Institution may

- a) Pay any premium on any insurance or assurance policy taken out by the Borrower or the Financial Institution in connection with this loan agreement; and
- b) Debit the Borrower's account on a monthly basis in respect of such premiums

Nothing in facility letter will oblige the Financial Institution to take out or pay any premiums on the

Change in control and constitutional documents

If the Borrower is a legal person such a company co-operative trust, partnership, or association of persons

- a. The Financial Institution shall be entitled in all its actions to rely exclusively upon the documents, including all constitutional documents and authorizations, submitted by the Borrower and in the Financial Institution's possession;
- b. The Borrower is required to notify the Financial Institution in writing as soon as the proposed or actual change becomes known of any proposed or actual charges
 - i. In the direct ownership, or control (including if there is a change in the person that may directly or indirectly exercise the majority of the voting rights in the legal person), or management of the Borrower, or any such change in any surety for the Borrower's debt to the Financial Institution; or
 - ii. To the Borrower's constitutional documents; and
- c. Any security given for the loan remains in full force and effect until the Financial Institution in writing releases such security

Any change in control of the Borrower will not affect any collateral held by the Financial Institution nor will it release any surety from a suretyship unless the Borrower offers an alternative surety or any security to the conduct of the Financial Institution.

Information Sharing

At the request of any surety / guarantor for the loan facility the the Borrower agrees that the Financial Institution may provide may provide with the copy of the facility letter, together with an amendment thereto, and or details of the conduct of the Borrower's account

Severability

Each term of the facility letter is separate from the other if any term is found to be detective or unenforceable for any reason by any competent court, then the remaining terms will be of, and continue with full force and effect.

Renunciation of Benefits



Borrower's behalf. If any insurer rejects any insurance claim for any reason the Borrower will have no recourse against the Financial Institution.	The Borrower renounces the benefits of the following legal exceptions a. Simultaneous citation and division of debt (this applies where there is more than one co-principal debtor / Borrower and entities each of them to claim that the Borrower is liable only for his proportional share of the total debt; when this benefit is renounced by a Borrower, he becomes liable for the whole amount, but the Borrower has certain rights of contribution against the other co-principal debtors/Borrower); no cause debt and no value received (these are defences that there are no grounds for a debt or that no value was received when these benefits are renounced the Borrower bears the burden to prove that the Borrower is not indebted to the creditor/ Financial Institution or that it got no benefit). b. Revision of accounts and errors of calculation (these defenses apply where the Borrower wishes to show that his account has been wrongly drawn up to calculated, when this benefit is renounced, the Borrower bears the burden to prove that the accounts are wrong), and c. Non numeratae pecuniae (this defense applies where the Borrower wishes to show that the loan was not paid out or properly counted when this benefit is renounced, the Borrower bears the burden to prove that the loan was not paid out or properly counted)
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